AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BUS115
SMALL BUSINESS MANAGEMENT

MTA Makeup
2024-2025 / SPRING

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Version A

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Number of Exam Pages:4 (including this cover sheet)	Time Allowed: 1.5 Hrs.

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL OF THE FOLLOWING QUESTIONS

Question 1: Select the correct answer for each of the following sentences and write the answer in your answer booklet (20 sentences, 50 marks, chapters 1, 3, 4)

1. **An entrepreneur is a person who _____.**
   A) is willing to attempt to implement a business concept and then give up if it does not meet immediate expectations
   B) understands the process of developing an idea and does not need to understand what it means to bring that idea to a viable business concept
   C) knows that the concept they are about to develop will result in a profitable business
   D) creates a new business concept for the purpose of achieving profit and growth by assembling the necessary resources to capitalize on identified opportunities

2. **All of the following are characteristics of the typical entrepreneur except _____.**
   A) confidence in his/her ability to succeed
   B) value of money over achievement
   C) desire for immediate feedback
   D) a future orientation

3. **Entrepreneurs who repeatedly start businesses and grow to a sustainable size before striking out again are known as _____ entrepreneurs.**
   A) opportunistic
   B) persistent
   C) serial
   D) classic

4. **Entrepreneurs who start businesses because they cannot find work any other way are called _____.**
   A) necessity entrepreneurs
   B) serial entrepreneurs
   C) opportunity entrepreneurs
   D) corporate cast-offs

5. **Research and studies have isolated a set of characteristics that can predict who will succeed as an entrepreneur.**
   A) TRUE
   B) FALSE

6. **Potential drawbacks of entrepreneurship may include _____.**
   A) uncertainty of income, risk, long hours, and high stress
   B) uncertainty of income, risk, easy hours, and frequent vacations
   C) uncertainty of income, risk, long hours, and the immediate accumulation of wealth
   D) certainty of income, risk, long hours, and high stress

7. **The ability to develop new ideas and to discover new ways of looking at problems and opportunities is called _____.**
   A) entrepreneurship
   B) innovation
   C) creativity
   D) creative thinking

8. **_____ is necessary for building a competitive advantage and for business survival.**
   A) One single idea
   B) A motivated owner
   C) Creativity
   D) A low-priced product

9. **An entrepreneurial "secret" for creating value in the marketplace is _____.**

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A) applying creativity and innovation to solve problems
B) creating new products and services
C) learning by doing
D) applying lessons learned from history

10. Entrepreneurship is a constant process that relies on _____.
A) creativity, innovation, and profit
B) the ability to win over the consumer
C) creativity, innovation, and application in the marketplace
D) intellectual property rights

11. Innovation is the ability to develop new ideas and to discover new ways of looking at problems and opportunities.
A) TRUE B) FALSE

12. Creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities.
A) TRUE B) FALSE

13. When developing creative solutions to modern problems, entrepreneurs must _____.
A) go beyond merely using whatever has worked in the past
B) limit the creative process to only profitable ventures
C) remember what has worked in the past
D) pay attention to limiting factors

14. All of the following represent barriers to creativity that entrepreneurs impose upon themselves except _____.
A) focusing on being too logical
B) being too practical
C) blindly following rules
D) searching for more than one answer

15. A(n) _____ is the process of examining a need in the market, developing a solution for that need, and determining the entrepreneur's ability to successfully turn the idea into a business.
A) business plan
B) strategic analysis
C) idea assessment
D) feasibility analysis

16. An effective tool used to help assess ideas is the _____.
A) idea toolkit
B) idea dashboard
C) idea sketch pad
D) idea metric

17. The process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business is known as a(n) _____.
A) business plan
B) strategic analysis
C) industry analysis
D) feasibility analysis

18. A product or service feasibility analysis determines the degree to which a product or service idea appeals to potential customers and identifies the necessary resources.
A) TRUE B) FALSE

19. Entrepreneurs typically identify just one business idea for any given market need.
A) TRUE B) FALSE

20. The purpose of a feasibility study is to determine whether a business idea is worth pursuing.
A) TRUE B) FALSE

Question 2: (50 Marks, chapter,1)

PROJECT

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Coming up with great business ideas may seem easy, but only a true entrepreneur capitalizes on them to turn them into reality.

a) **What is an entrepreneur? (20 marks)**

b) **Discuss some of the reasons why entrepreneurs are considered as important agents of change in this global economy? (10 marks)**

c) **Give real-life examples of local entrepreneurs in your country and illustrate how they have positively changed your community. (20 marks)**

Question 3: (50 Marks, chapter 3)

a) **Can creativity be taught or is it an inherent trait? Explain how creativity is considered an important source for building a competitive advantage and for survival. (30 marks)**

b) **Discuss 2 of the Techniques for Enhancing Creativity. (20 marks)**

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END OF EXAM

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